NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH (COURT-I), CHANDIGARH

CP (CAA) No.50/Chd/Pb/2022
(2nd Motion)
Connected with
CA (CAA) No.53/Chd/PB/2021
(1st Motion)

Under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangement and Amalgamation Rules), 2016

IN THE MATTER OF SCHEME OF AMALGAMATION AMONGST:

Beverly Bakers Limited
CIN: U15122PB2015PLC052902
PAN: AAGCB2479M
having its registered office at 114/2,
Dhandari Khurd, GT Road,
Hadbast No. 242, Sub-Tehsil Sahnewal, Ludhiana
141014, PB
Through Sh. Santosh Kumar Gupta its Authorised Signatory

…. Petitioner No.1/ Transferor Company No.1

AND

Beverly Food & Beverages Limited
CIN: U15400PB2014PLC052957 PAN:
AAFCB9371H
having its registered office at 114/2,
Dhandari Khurd, GT Road,
Hadbast No. 242, Sub-Tehsil Sahnewal, Ludhiana
141014, PB
Through Sh. Santosh Kumar Gupta, its Authorised Signatory

…. Petitioner No.2/ Transferor Company No.2

AND

Vista Knitberry Fashions Limited
CIN: U18101PB2008PLC050187
PAN: AADCV1100E
having its registered office at
C/o Rythm Textile & Apparels Park Limited, Village
Sekhon Majra, Rahon Machhiwara Road,

Nawan Shehar 144517 PB
Through Sh. Vivek Nayyar, its Authorised Signatory
…. Petitioner No.3/ Transferee Company

Order delivered on: 14.08.2025

Coram: HON'BLE SH. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE SH. SHISHIR AGARWAL, MEMBER (TECHNICAL)

Present:

For the Petitioner	:	Mr. Anand Chhibbar, Senior Advocate with Mr. Vaibhav Sahni, Mr. Shikar Sarin Advocates Ms. Swati Vashisth, PCA.
For the RoC, Chandigarh	:	Ms. Deepmala
For the OL	:	Mr. Edward Augustine George, Advocate.
For the Income Tax Department	:	None (Right to file the reply is forfeited)

Per: Sh. Harnam Singh Thakur, Member (Judicial)
Sh. Shishir Agarwal, Member (Technical)

ORDER

This is a Joint Second Motion Company Petition (hereinafter referred to as the "Petition") filed under Sections 230 to 232 of Companies Act, 2013 (hereinafter referred to as the "Act") and other applicable provisions of the Act read with Rule 15 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter referred to as the "Rules") by the Beverly Bakers Limited (hereinafter referred to as the "Petitioner No.1" or "Transferor Company No.1"), Beverly Food & Beverages Limited (hereinafter referred to as the "Petitioner No.2" or "Transferor Company No.2") and Vista Knitberry Fashions Limited (hereinafter referred to as the "Petitioner No.3" or "Transferee Company") (hereinafter collectively referred to as the "Petitioner Companies") to obtain sanction of this Tribunal to the Scheme of Amalgamation between the Petitioner Companies (hereinafter referred to as the

"Scheme"). The copy of the Scheme has been annexed as Annexure: A-1 of the Petition.

2. The Petitioner Companies are within the jurisdiction of this Tribunal, as the registered offices of all the Petitioner Companies are situated within the State of Punjab.

3. The Board of Directors of the Petitioner No.1 in their meeting held on 24.05.2022 and Petitioner No.2 & 3 in their respective meetings held on 30.10.2021 considered and approved the Scheme. The Copy of the Board resolution of Petitioner No.1, 2 and 3 have been annexed with the Petition as Annexure: A-2, Annexure: A-7 and Annexure: A-12 respectively.

4. The First Motion Company Application No. CA(CAA)53/Chd/PB/2021 (hereinafter referred to as the "Application") seeking directions for dispensing with the requirement for convening the meeting of the Equity Shareholders, Secured and Unsecured Creditors of the Petitioner Companies was filed by the Petitioner Companies and This Tribunal, vide its Order dated 10.05.2022 had issued the following directions in the Application.

(i) The meetings of Equity Shareholders of Petitioner No.1, 2 and 3 were dispensed with keeping in view the shareholding pattern, financial structure of the company and the fact that the consent by way of affidavits has been received.

(ii) The meetings of Creditors of the Petitioner No.1 and 2 were dispensed with, as they had only 5 and 3 Unsecured Creditors (Trade Payables) respectively and their consents have been received by way of affidavits;

(iii) The requirement of meeting of Secured Creditors of Petitioner Company 1 and 2 did not arise as there were nil secured creditors in both the companies.

(iv) The meeting of Secured Creditors of the Petitioner No.3 was dispensed with, as it has 1 Secured Creditor, whose consent has been received by way of affidavit.

(v) The meeting of the Unsecured Creditors of the Petitioner No. 3 was ordered to be convened on 02.07.2022, the quorum for the meeting was fixed and Chairperson, Alternate Chairperson and Scrutiniser were appointed for conducting the meeting. The Petitioner No.3 was also directed to publish the notice of the meeting in "Financial Express" (English) in Chandigarh edition and "Punjabi Jagran" (Punjabi) in Punjab edition and to send the notices to the statutory authorities.

5. In compliance with the above directions, the Chairperson filed his report vide Diary No. 01402/4 dated 05/07/2022 in the Application, a copy of which has also been annexed with the Petition as Annexure: A-23. As per the Chairperson report, 17 Unsecured Creditors holding the debt amounting to Rs.7,18,19,302/- or 100% of the total number of valid votes casted, had voted in favour of the resolution approving the Scheme, which meets the threshold for approval as provided under section 230(6) read with section 232 of the Companies Act, 2013. The Scrutiniser report attached at Annexure-A of the Chairman Report also stated that Petitioner No.3 has issued individual notices to all of its Unsecured Creditors and to the statutory authorities and also published the notice of the meeting in the "Financial Express" (English, Chandigarh Edition) and "Punjabi Jagran" (Punjabi, Punjab Edition) on 28.05.2022.

6. In the Second Motion Petition proceedings, the following directions were issued

by this Tribunal vide Order dated 28.07.2022:

(i) The Petitioner Companies will advertise the notice of hearing in “Financial Express” (English) in Chandigarh Edition and “Punjabi Jagran” (Punjabi), in Punjab Edition.

(ii) The Petitioner Companies shall serve the notice of the Petition on the (a) Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi (hereinafter referred to as the “RD”); (b) concerned Registrar of Companies (hereinafter referred to as the “RoC”, (c) concerned Official Liquidator (hereinafter referred to as the “OL”); and (d) Jurisdictional Income Tax Department (hereinafter referred to as the “ITD”).

(iii) The Petitioner Companies shall file an affidavit of service regarding newspaper publication with newspaper clippings as well as service of notices on the authorities specified above.

(iv) The Petitioner Companies shall file an affidavit stating the objections received from public pursuant to publication of notice of hearing in the newspapers.

(v) The Registry shall also report before the date fixed as to whether any objection has been received to the proposed ‘Scheme’.

7. In compliance of the above Order, the Transferee Company has filed the Compliance affidavit vide diary No. 01562/1 dated 10.10.2022 enclosing therewith the (i) Newspaper cuttings at Annexure: B evidencing the publication of notice of hearing in "Financial Express" (English) Chandigarh Edition and "Punjabi Jagran" (Punjabi) Punjab Edition on 23.09.2022; and (ii) the copy of the postal receipts & tracking reports at Annexure: C evidencing dispatch and delivery of the notices of petition upon

the statutory authorities. It has also been deposed in the affidavit that no objections have been received from any person/ department to the Scheme.

8. In response to the notices, the statutory authorities have furnished their replies, which are discussed as under:

8.1 **Regional Director/ Registrar of Companies:**

(i) The RD has filed its report along with the report of the RoC by diary No.01562/3 dated 23.01.2023. No specific objections have been raised in RD/ RoC, and following observations have been made:

9. That as per the report of Registrar of Companies, the Transferor Companies have filed the Balance Sheet and Annual Return up to 31.03.2022 and the Transferee Company has filed the Balance Sheet and Annual Return up to 31.03.2021. No prosecution has been filed & no inspection or investigation has been conducted in respect of the Petitioner Company.

10. That observations of the O/o ROC Chandigarh vide letter dated 12.10.2022 are as under: -

I. The main objects of the Transferor Companies and Transferee Company are not similar.

II. All the applicant Companies are not NBFC under the provision of RBI Act.

III. Prima Facie there is no violation under section 383A/203 of the Companies Act, 1956/2013, as per record available with this office. Further, there is no violation under section 295, 297, 299 & 301 of Companies Act, 1956 (Section 184, 185, 188 and 189 of Companies Act, 2013), However in the financial statement for the Financial Year 2021-2022, in Note 18 of Beverly Bakers Ltd, the cost of material consumed figure in incorrect and is shown as Zero. Hence, there is violation of section 129 of the Companies Act, 2013.

11. That Transferee Company vide its letter dated 05.12.2022 (**Annexure -- B**) has replied to the query of the Registrar of Companies as under : -

11.1 ***For observation under Para 1, this is submitted for your consideration that:***

- *As per section 232(3)(1) of the Companies Act, 2013, where the transferor company is dissolved, the fee, if any, paid by the transferor company on its authorised capital shall be set-off against any fees payable by the transferee company on its authorised capital subsequent to the amalgamation.*

- *Consequent to the amalgamation of the Transferor Company with the Transferee Company, the Authorised Share Capital of the Transferor Company shall stand merged into and combined with the Authorised Share Capital of the Transferee Company without any further act of deed, and without payment of any registration or filing fee on such combined Authorised Share Capital.*

- *Please refer clause 19(d) and 19(e) of scheme of amalgamation, in which we have already mentioned that upon the coming into effect of the Scheme, the authorized share capital of the Amalgamated Company shall automatically stand increased and the capital clause of the Memorandum of Association of the Amalgamated Company shall, without any further act, instrument or deed be and stand altered, modified and replaced by the following clause:*

"The Authorized Share Capital of the Company is INR 7,06,00,000/- (Indian Rupees Seven Crore Six Lakh Only) divided into 70,60,000 (Seventy Lakh Sixty Thousand) Equity Shares of INR 10/- (Indian Rupees Ten Only) each."

- The following tabular statement is presenting the post amalgamation capital structure of the Petitioner Companies:

Particulars	*Transferor Company. 1 Beverly Bakers Limited (Petitioner Company No.1)*	*Transferor Company No. 2 Beverly Food & Beverages Limited (Petitioner Company No. 2)*	*Transferee Company Vista Knitberry Fashions Limited (Petitioner Company No.3)*
Pre-Merger Authorised Capital	*10,00,000 (1,00,000 Equity Shares of Rs. 10/- each)*	*6,00,00,000 (60,00,000 Equity Shares of Rs. 10/- each)*	*96,00,000 (9,60,000 Equity Shares of Rs. 10/- each)*
Post-Merger Authorised Capital	*NA*	*NA*	*7,06,00,000 (10,00,000 + 6,00,00,000 + 96,00,000) (70,60,000 Equity Shares of Rs. 10/- each)*

11.2 ***For observation under Para 2, this is submitted for your kind consideration that:***

- In Note No. 18 "Cost of Material Consumed", Stock at the end of the period is actually 3,014 (INR in Hundred) which is showing as 3,01,359 due to omission of conversion of figure of closing stock into Hundreds. The same can be cross verified with Note No.11 "Inventories" in which closing stock is appearing as 3,014 (INR in Hundred). Once the figure of closing stock in Note No 18 will be converted into Hundred, the cost of material consumed will be zero.

- As per new changes introduced in Schedule II of the Companies Act, 2022, every company has to present the items in financial statement in rounded off figures. Accordingly we have prepared the financials and rounded off the items in Hundreds. However due to presentation of Stock at the end of period in Indian Rupees, It was depicting that the Cost of material consumed is not Zero. But if we sum up all the items in Hundreds, cost of material consumed will arrive at Zero. Moreover resulting amount of cost of material consumed is accurately shown in Profit and loss Statement.

-Mere appearing of item in absolute figures in Financials did not amount to violation of section 129 of the Companies Act, 2013, in spite of the fact that it did not impact the true and fair view of affairs of the Company.

-Neither we have committed misrepresentation of fact nor concealed true position of financials of the company owing to way of presentation in financials. Hence there is no violation of section 129 of the Companies Act, 2013

12. This report has been prepared based on documents filed by companies as well documents available in the MCA Registry. The matter may be decided on

The submissions in para 1 to 12 above after having examined the Scheme, reply of the Petitioner Companies and report of Registrar of Companies for kind consideration of the Hon'ble Tribunal to satisfy with regard to the scheme and such orders as may be deemed fit and proper in the facts and circumstances of the case

(ii) In the hearing dated 12.01.2024, it has been recorded that the report of RD/ RoC is available on record, in which it is stated that the RoC/ RD has no objection to the Scheme.

(iii) In the hearing dated 31.05.2024, the Company Prosecutor representing RD/ ROC requested time on the ground that the response to the RD's report submitted by Petitioner Companies is not available with the Office

of RD. Therefore, Ld. Counsel appearing on behalf of the Petitioner Companies was directed to file the said affidavit on the file with a copy in advance to the RD. In the hearing dated 05.07.2024, the ld. counsel for the Petitioner Companies was again granted one last opportunity, out of sheer indulgence, to do the needful within one week failing which the petition will be dismissed for non-compliance.

(iv) The Compliance affidavit was filed by learned counsel for the Petitioner Companies for sending the copy of response to RD report vide Diary No.01562/4 dated 05.07.2024.

(v) In the hearing dated 06.09.2024, it was stated by the Company Prosecutor for RoC/ RD that they have gone through the response of the Petitioner Companies and found it satisfactory, they have no further observation, which was recorded in this Tribunal order dated 06.09.2024.

8.2 **Official Liquidator:**

(i) The OL has filed its report vide diary No.01562/2 dated 06.12.2022, in which no specific objections have been raised.

(ii) In the hearing dated 31.05.2024, it was stated by ld. counsel appearing on behalf of the OL that they have no objections/ observations to the Scheme, which was recorded in this Tribunal order dated 31.05.2024.

8.3 **Income Tax Department:**

(i) In the hearings dated 01.05.2022 and 05.07.2023, Learned counsel for ITD requested for time to file the report. However, in the hearing dated 12.01.2024, there was no representation on behalf of the ITD, only by sheer indulgence; ITD was granted one last opportunity to file its report.

(ii) In the next hearing dated 12.03.2024, Senior Standing Counsel for the ITD again sought time and two weeks was granted to file the report. However, in the hearing dated 31.05.2024, there was neither representation on behalf of the ITD and nor report/objection was filed by them and this Tribunal vide order dated 31.05.2024 directed as below:

> " .....*It seems that the Income Tax Department is not interested to file any reply/objection and therefore, it is presumed that they have nothing to say in the matter. Therefore, their right to file reply is forfeited."*

9. This Tribunal, vide order dated 06.09.2024, directed the counsel of the Petitioner Companies to submit an affidavit with regard to Food Safety and Standard Authority of India being the regulator in the present case correlating the business of the Petitioner Companies with relevant provisions of the Food Safety and Standard Act, 2006 and Food Safety and Standard Rules 2011.

10. In furtherance of the above directions, the Petitioner Companies, vide Diary No.01562/5 dated 19.09.2024 filed a compliance affidavit stating that the Petitioner No.1 and 2 were engaged in the business of food related products and obtained the valid licences from FSSAI, but these licences were valid upto September, 2020 thereafter, these were not renewed and now the said business has been closed, and Petitioner Nos.1 and 2 have closed their operation before 2020 and do not have any licence from FSSAI.

11. The certificate of the Statutory Auditors with respect to the Scheme between Transferor Companies and Transferee Company to the effect that the accounting treatment proposed in the Scheme is in compliance with applicable Indian Accounting Standards prescribed under Section 133 of the Companies Act, 2013 has been attached as Annexure A-18 of the Second Motion Petition.

12. This Tribunal dismissed the petition vide order dated 06.11.2024 and made certain observations in para 13,14 and 15 which, are summarized as below:

a. The appointed date under the Scheme is 01.04.2021. Based on the audited financial statements for 31.03.2021, Transferor Companies 1 and 2 reflect substantial accumulated losses and negative net worth, whereas the Transferee Company shows profits and positive net worth. However, the combined post-merger position, as per both audited and provisional statements up to 31.03.2022, indicates negative net worth and assets insufficient to meet liabilities, leading to the view that the amalgamation would render the Transferee Company financially non-viable and contrary to public interest.

b. It is also noted that as per the details submitted in the petition, the business of the Transferor Companies and Transferee Company are entirely different and the different nature of business of Transferor Companies and Transferee Company also does not justify the amalgamation of Transferor Companies into the Transferee Company.

c. (i) It is noted that DCF method uses the cash generation potential of a business and thus can be used for a running business. (ii) By using the above method, the equity shares of Transferor Company No. 1 and Transferor Company No. 2, which are sick companies incurring losses & having accumulated losses and negative net worth have been valued at Rs. 24.50 per share and Rs. 16.33 per share respectively. (iii) The above share value has been used to work out the share exchange ratio for the issuance of the share of the Transferee Company to the shareholders of the Transferor Companies. (iv) It is noted that as per the audited financial statement for the year ended 31.03.2022 of Transferor Company No.1 submitted along with the petition at Annexure A-4, it is not carrying on business as there is no

revenue from operation. Further, the Petitioner Companies, in compliance affidavit filed vide Diary No.01562/5 dated 19.09.2024 have submitted that the Transferor Company No.1 and 2 were engaged in the business of food related products and now the said business has been closed, and Petitioner Nos.1 and 2 have closed their operation before 2020. (v) Thus, the DCF method used for valuation of shares of the Transferor Company Nos.1 & 2 and working out the exchange ratio based upon the valuation does not appear to be fair and reasonable.

> *"As a sequel to the above discussion and reasons recorded herein before, this Tribunal is of the considered opinion that it is not a fit case to sanction the scheme of amalgamation as the scheme would miserably fail to achieve the objective behind the Scheme of amalgamation as set out in the petition for first motion. Rather the Scheme if approved, would adversely affect and deteriorate the financial health of the transferee company which may lead to insolvency of the Transferee Company, which in turn would be against the objectives behind the scheme as well as objects and reasons of IBC, 2016. The Company Petition bearing number CP(CAA) No. 50/Chd/Pb/2022 is dismissed, therefore the matter stands disposed of."*

13. The above order dated 06.11.2024 was challenged before Hon'ble NCLAT wherein while setting aside the said order Hon'ble NCLAT remanded back the matter to this tribunal to take into consideration and to give opportunity to the appellant to explain its position on the valuation report and also on the financial viability of the transferee company. Thereafter, during the course of hearing before this Tribunal on 15.05.2025 applicant was directed to file a two-page note with the relevant case laws. In pursuance of the same, applicant has filed the short note on financial viability of the Transferee Company, the content of which are summarized as below:

i. The Transferee Company, Vista Knitberry Fashions Limited, is a going

concern engaged in profitable operations with positive net worth, healthy EBITDA margin, and operational cash flows, having no defaults on statutory dues or creditor obligations. The latest audited financial statements demonstrate adequate reserves and liquidity, with the Debt-Equity ratio and other solvency indicators remaining within acceptable limits post-merger. The Transferor Companies are non-operational, hold no valid FSSAI licenses, and have no significant liabilities, and the amalgamation is intended to consolidate shareholding, optimize compliance, and enhance administrative efficiency without imposing any adverse financial burden on the Transferee Company. The controlling shareholder of the Transferor Companies also holds a majority stake in the Transferee Company, ensuring alignment of interests.

ii. The Registrar of Companies and Official Liquidator have issued no objections, shareholders and creditors of all companies have approved the Scheme, and the Income Tax Department, despite service of notice, has not filed any objection and its right to reply stands forfeited. The valuation report adopts the Discounted Cash Flow method under the Income Approach, which is recognized under International Valuation Standards and judicial precedents as a credible methodology for share valuation, and reliance has been placed on various decisions of Hon'ble High Courts, NCLAT, and NCLT upholding such approach. In view of the above facts and submissions, it is established that the proposed Scheme does not adversely affect the financial backbone of the Transferee Company and is aimed at enhancing operational efficiency through consolidation, while safeguarding the interests of all stakeholders.

14. Further, during the course of hearing before this Tribunal on 06.06.2025, the petitioner was directed to put a note on the observations of this Bench in the order

dated 06.11.2024 in para 15 (i) to (v), wherein it was observed that the DCF (Discounting Cash Flow) method used for valuation of shares of the Transferor Company Nos.1 & 2 and working out the exchange ratio based upon the valuation does not appear to be fair and reasonable. In compliance of the same the petitioner has filed a short note the contents of which are summarized as below:

i. It is submitted that the DCF method used for valuation and for carrying out the exchange ratio based on valuation is appropriate, fair and reasonable. The Petitioners further submits that the DCF method is an accepted, fair and reasonable approach in the facts of the present case. Transferor Companies are non-operational since before 2020, as reflected in audited financial statements and compliance affidavits, and closure was due to extraordinary disruptions caused by the COVID-19 pandemic, which severely impacted the food and hospitality sectors globally. Post-pandemic, the food, beverage, and bakery sectors have seen revival and growth, improving the feasibility of restarting operations under the stable platform of the Transferee Company, Vista Knitberry Fashions Limited.

ii. The amalgamation is stated to be a strategic restructuring exercise for consolidation of group operations with strong financial and operational capacity. The companies involved are closely held with common shareholders, and the exchange ratio causes no dilution or loss to any stakeholder, serving merely an internal realignment purpose.

iii. The DCF method values assets by discounting projected cash flows, including terminal value, and is recognised under ICAI Valuation Standards 2018, mandated under the Companies Act, 2013. ICAI Valuation Standard–103 prescribes the Income Approach, including the DCF method, for such

valuations. The valuer, considering the nature of business and risks, selected the DCF method, arriving at a value of Rs. 24.50 per share for Transferor Company No.1 and Rs. 16.33 per share for Transferor Company No.2, resulting in an exchange ratio of 1:2 and 1:3 respectively with the Transferee Company.

iv. Both transferor companies, though dormant, hold assets, expertise, goodwill, and business potential that may be unlocked post-merger. The Applicant Companies have only one class of equity shareholders, and no objection has been received from ROC, RD, or the Income Tax Department. Reliance has been placed on judgments of the Hon'ble Supreme Court **in *Miheer H. Mafatlal v. Mafatlal Industries Ltd.*** and orders of the Hon'ble NCLAT in ***Indiabulls Real Estate Ltd.*, *Lincon Polymers Private Limited***, as well as decisions of the Hon'ble Bombay High Court in ***Sesa Goa Ltd.*** **and** ***Wartsila India Ltd.***, recognising DCF as a valid and accepted method were backed by expert opinion and shareholder approval.

ORDER

15. Having heard the learned counsel for the petitioner companies and after considering the materials placed on record pursuant to the Hon'ble NCLAT's remand order, including audited financials, the valuation report, and the petitioners' submissions, and noting that the shareholders and creditors of all Petitioner Companies have unanimously approved the Scheme, the Registrar of Companies and Official Liquidator have filed reports with no objection, and no statutory authority has opposed the proposal, we are of considered view that scheme is not against the public interest. Apart, it is noted that the companies in the scheme of amalgamation are closely held with common shareholders and thus the exchange ratios cause no

dilution or loss to any stakeholders. Therefore, we are satisfied that the Scheme is fair, reasonable, and in the interest of all stakeholders.

16. Subject to the Petitioner Companies complying with the requirement of various laws including the rules, and regulations, the permission is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on the Petitioner Companies and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with all the statutory requirements in accordance with law.

17. Notwithstanding the submission that no investigation is pending against the Petitioner Companies, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

18. While approving the scheme as above, it is clarified that this order should not be construed as approval by any statutory authorities viz. RBI, SEBI, CCI etc. or any sectoral regulator; or construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges or payment, if any, due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law. Further, the approval of the scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961, or serve as any exemption or defence for the Petitioner Companies against Tax Treatment in accordance with the provisions of the Income Tax Act, 1961 and the rules and regulations made there under.

19. **THIS TRIBUNAL DO FURTHER ORDER:**

I. Upon the sanction becoming effective from the appointed date of amalgamation i.e. 01.04.2021, the Transferor Company No.1 and 2/Petitioner Company No. 1 and Petitioner Company No.2 shall stand dissolved without undergoing the process of winding up;

II. All the properties, rights and powers of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall pursuant to Sections 230 & 232 of the Act, be transferred to and vested in the Transferee Company for all the estate and interest of the Amalgamating Companies, but subject nevertheless to all charges now affecting the same;

III. All the liabilities and duties of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 to 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company;

IV. After the Scheme becomes effective, as per Section 232(3)(i) of the Companies Act, 2013, the fee, if any, paid by the Transferor Companies on its authorized capital shall be set off against any fees payable by the Transferee Company on its authorized capital subsequent to the amalgamation;

V. The Transferee Company shall file the revised Memorandum and Articles of Association with the concerned RoC and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company; after setting off the fees paid by the Transferor Company;

VI. The Transferee Company shall, without further application, allot to the existing members of the Amalgamating Companies, shares of Transferee Company to which they are entitled under the Scheme;

VII. All proceedings pending, if any, by or against the Transferor Companies be continued by or against the Transferee Company;

VIII. All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Amalgamating Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

IX. All the tax liabilities and all the pending appeals and proceedings under the Income Tax Act, pending against the Transferor Companies stand transferred to the Transferee Company and shall be enforced and continued against the Transferee Company and all compliances under Income Tax Act, 1961 shall be made by Transferee Company after the Appointed Date. Further, the Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Transferor Company as well as the Transferee Company, in respect of the assets sought to be transferred under the proposed scheme. The Transferee Company is also directed to discharge the outstanding demand, if any, found later against the Transferor Companies;

X. The Transferee Company will clear all the pending statutory dues after exercising the option of appellate jurisdictions and as per final orders. The Scheme shall not come in the way of the statutory authorities to recover any of their dues. All the contentions of the parties shall remain open before the relevant forum(s), where disputes are pending;

XI. Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

XII. As per the aforesaid directions and Form No. CAA-7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, formal order be issued to the petitioners upon the filing of the Schedule of Properties within three weeks from the date of receiving the certified copy of this order.

20. The Petitioner Companies shall, within 30 days after the date of receipt of this Order, cause a certified copy of this Order to be delivered to the RoC for registration in prescribed form and on such certified copy being so delivered; the Transferor Companies shall be dissolved without undergoing the process of winding up. The concerned RoC shall place all documents relating to the Transferor Companies registered with him on the file relating to the said Transferee Company, and the files relating to the Transferor Companies and Transferee Company shall be consolidated accordingly, as the case may be.

21. The certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

22. The Company Petition **CP(CAA) No.50/Chd/Pb/2022 is allowed and disposed of accordingly.**

-Sd-

(SHISHIR AGARWAL)
Member (Technical)

-Sd-

(HARNAM SINGH THAKUR)
Member (Judicial)

August 14, 2025

Japneet